# Cash or Nibble? Investing Through High Yields, a Strong Dollar and Expensive Oil

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> **Bottom line:** neither sit fully in cash nor nibble aggressively. Deploy in stages, tilted toward what has historically held up in this kind of market, and tie each stage to a clear trigger. One part of the premise does not hold up: Indian valuations are fair, not at levels unseen in the past.

## 1. Valuations aren't at levels "not seen in the past"

- **Nifty is fairly valued, not cheap.** It has compressed to about 20.5x trailing earnings, against a long-term average of roughly 22.5–23.3x.
- **That puts us in the middle of the historical range.** In 27 years of data, PE between 20.2 and 21.8 has been the middle band, with a median 5-year return of about 9.6%. Truly cheap was below 17.3x, where the median 5-year return was about 23.6% and every 5-year window was positive. We are not there.
- **The "below average" comparison flatters today.** NSE switched to consolidated earnings in 2021, which lowered reported PEs. Part of the long-term average was calculated on a basis that inflated the old PEs.
- **Bonds are tough competition.** Nifty's earnings yield is about 4.9%, while the 10-year G-sec is at 7.32% and 10-year AAA corporates at 7.83%. That is a thin cushion for taking equity risk.
- **Mid and small caps aren't cheap either.** In June the Smallcap 250 traded about 13% above its 7-year median PE. The genuinely cheap pockets are narrower: Nifty Bank around 14.4x (about 17% below its median) and IT about 30% below its median.
- **The dollar isn't the main problem.** DXY at about 102 is a 2026 high, but it was around 114 in 2022 and 164 in 1985.

The real stresses are elsewhere:

- The US 10-year yield is at 5.2–5.33%, the highest since 2007.
- Brent is around $100 on the Strait of Hormuz disruption.
- The Fed is hiking, and all but two policymakers see at least one more hike this year.

## 2. What history shows

| Episode | Setup | What won | What lost / lesson |
|---|---|---|---|
| **1979–82** Volcker era | 10Y ~15%, oil shock, dollar rising until 1985 | Cash at ~15%. The 1970s were the only decade since the 1930s where cash beat stocks and bonds. Energy and value led. | Growth and tech worst. Stocks bottomed Aug 1982 at ~7–8x earnings, only after the Fed stopped tightening. |
| **2000–02** | Strong dollar, oil tripled, US 10Y ~6.5% | Value, small-cap value, energy, REITs held up. | Expensive growth collapsed. |
| **2007–08** | US 10Y near today's ~5.3% (mid-2007); oil $147 (Jul 2008) | Cash was the only real shelter. | High oil + high rates ended in demand destruction; Nifty fell ~60%. |
| **2013** Taper tantrum (India) | Rupee 55 to record 68.85; Nifty -10–12% | Exporters: BSE IT +60%, healthcare +22% vs Sensex +9% in 2013. | Financials, autos, metals ended red or badly lagged. Turn came Sept 2013 with RBI action. |

| Episode | Setup | What won | What lost / lesson |
|---|---|---|---|
| **2022** | DXY ~114, Fed hiking, oil $120 | India outperformed: PSU Bank index +65%; FMCG and metals led. | Playbook flipped: IT and pharma disappointed. |

## 3. What the pattern really says

### What consistently held up

- Commodity producers, value stocks and high-dividend stocks.
- Utilities, energy and staples were the best stagflation sectors historically, according to BofA research.

### Where the obvious trades break down today

- **Energy has already run.** The S&P 500 energy sector rose 37% in Q1 2026. In India, upstream windfalls tend to get taxed, as happened in 2022.
- **IT as a rupee hedge worked in 2013 but failed in 2022.** Today its cheapness is partly about AI disruption fears: FPIs are exiting high-valuation sectors with low AI exposure. It may be cheap for a reason.
- **Gold fails when real rates rise.** It did badly in 1980–82, and it is falling now despite the war.
- **Cash is weaker than it looks.** In 1981 cash paid about 5% above inflation. Today the 1-year G-sec yields 6.27% against roughly 4.5–5% inflation, so the real return is only about 1.5%. It is a reasonable place to wait, not a winning asset.
- **Long bonds are the classic "rates have peaked" trade.** If you believe yields are close to their top, holding some long-duration gilts captures that move.

### When markets turned

Bottoms came when the *cause* peaked, not when valuations hit a particular number: the Fed stopping in 1982, the RBI acting in September 2013, and rates and oil peaking in mid-2022.

## 4. How I would structure it (a framework, not personal advice)

1. **First third:** deploy gradually over 3–6 months through an STP into large-cap value, banks and quality dividend payers.
2. **Second third:** deploy on a valuation trigger, such as Nifty PE at 18x or below (roughly 10–12% lower from here).
3. **Final third:** deploy on a macro trigger, when two of these happen: the Fed pauses or the US 10-year falls below ~4.75%; Brent stays below ~$85; DXY rolls over; FPIs are net buyers for two months in a row.
4. **While waiting,** park the money in liquid, money-market or short-duration funds.
5. **Avoid** oil-marketing companies, paints, aviation, crude-derivative chemicals and leveraged small caps.

**One contrarian positive:** FPI ownership has fallen to a 14-year low of 14.7%, after record outflows of over ₹2.6 lakh crore this year. Selling is getting exhausted, but that tells you little about timing.

### Two caveats

- The outcome of the RBI's 7 October policy decision could not be confirmed at the time of writing. A hike combined with a stable rupee would count toward the triggers above.
- Any money needed within 3–5 years shouldn't be in equities in this environment, whatever the valuations.

*This is research input for your own decision, not personalised financial advice.*

## Sources


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